

THE 17-YEAR JOURNEY

► Under Rajeev Jain's tenure, the company's AUM has grown at a CAGR of 33% ► Net profit has grown at a CAGR of 47% over 17 years

PARAMETER	FY08	FY24
Total income (₹ crore)	503	36,258
Net profit (₹ crore)	21	14,451
AUM (₹ crore)	2,478	3,30,615
Customer franchise	0.8 million	83.64 million
ROA	0.70%	5.08%
ROE	2%	22.05%

NOTE CONSOLIDATED NUMBERS **SOURCE** COMPANY

FUTURE GOALS

► Bajaj Finance aims to be the leader, with 200 million consumers ► It aims at a market share of 3-4% of total credit, 4-5% of retail credit

BASIC CONSTRUCT	6MFY25	FY28	FY29
Customer franchise (in million)	92.1	130-140	190-210
Cross-sell franchise (in million)	57.7	80-90	115-125
India payments GMV	0.27%	1.25-1.5%	0.4-0.5%
Share of total credit	2.11%	3-3.25%	3.2-3.5%
Share of retail credit	2.67%	3.8-4.0%	3.8-4.2%
Location presence	4,245	5,200-5,500	5,200-5,500
Net app installs (In million)	61.7	120-150	150-170
Web visitors (In million)	277	1,500-1,800	3,500-4,500
Return on Equity	19.40%	20-22%	20-22%
AUM per cross-sell franchise (₹ '000)	65	90-95	80-85
PAT per cross-sell franchise (₹ '000)	1.37	3.8-3.9	3.8-4.0
Product per customer	6.15	6 to 7	6 to 7

SOURCE BAJAJ FINANCE

loan YoY growth shows a decline in terms of disbursals," he adds. However, the rural B2B business continued to be strong in terms of momentum and in credit performance.

But the company is not completely protected from risks. Bajaj Finance's asset quality saw a slight decline in Q2FY25, with the GNPA and NPA standing at 1.06% and 0.46% respectively. Moreover, it recently exited the co-branded credit card market, where it had collaborated with RBL Bank and DBS. This move has impacted the fee income.

But Jain remains cautiously optimistic. "We continue to tighten our underwriting norms across all our products. The underwriting actions that we have taken in the last four to five months will start to show results from Q4," he says.

Being a risk-first business translates to being overtly vigilant. And Bajaj Finance does exactly that. According to Jain, the lending company identifies risk, takes pre-emptive corrective actions and remains watchful across portfolios. "We continue to invest in debt and risk management and are making investments in compliance and operational risk," he says.

Bajaj Finance faces increasing competition. For the first time, it is competing with major players like Reliance Industries, Poonawalla, Piramal, and Godrej groups. But Bajaj Finance is prepared to tackle these challenges and keep its head above the water. It is because of this grit, gumption, and well thought out strategies that it has emerged as the Best Large NBFC in the BT-KPMG Survey of India's Best Banks and NBFCs. **BT**

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